

AUDREY BENNETT · SAMIN BAHIZAD · AHDITHAN UTHAYAKUMAR

Moz Strategic Analysis

An evaluation of the 2016 cash flow crisis and a management roadmap
for sustainable growth.

SECTION 01

The Current Situation



Root Cause Diagnosis



False Market Bet

We built products for a market that didn't exist. Specialists wanted standalone tools, not our suite.



Unsustainable Growth

Staff grew 68% while revenue only grew 21%. We funded expansion by burning cash instead of profit.

Chased "Bad Growth"

New products didn't just miss targets—they distracted from and actively hurt our core SEO business.



Stretched Too Thin

Running 8 products left every team understaffed. Moz Local's model also quietly drained our bank account.

The Revenue-Hiring Gap

Percent Growth (2014 – 2016)

68%

Headcount

21%

Revenue

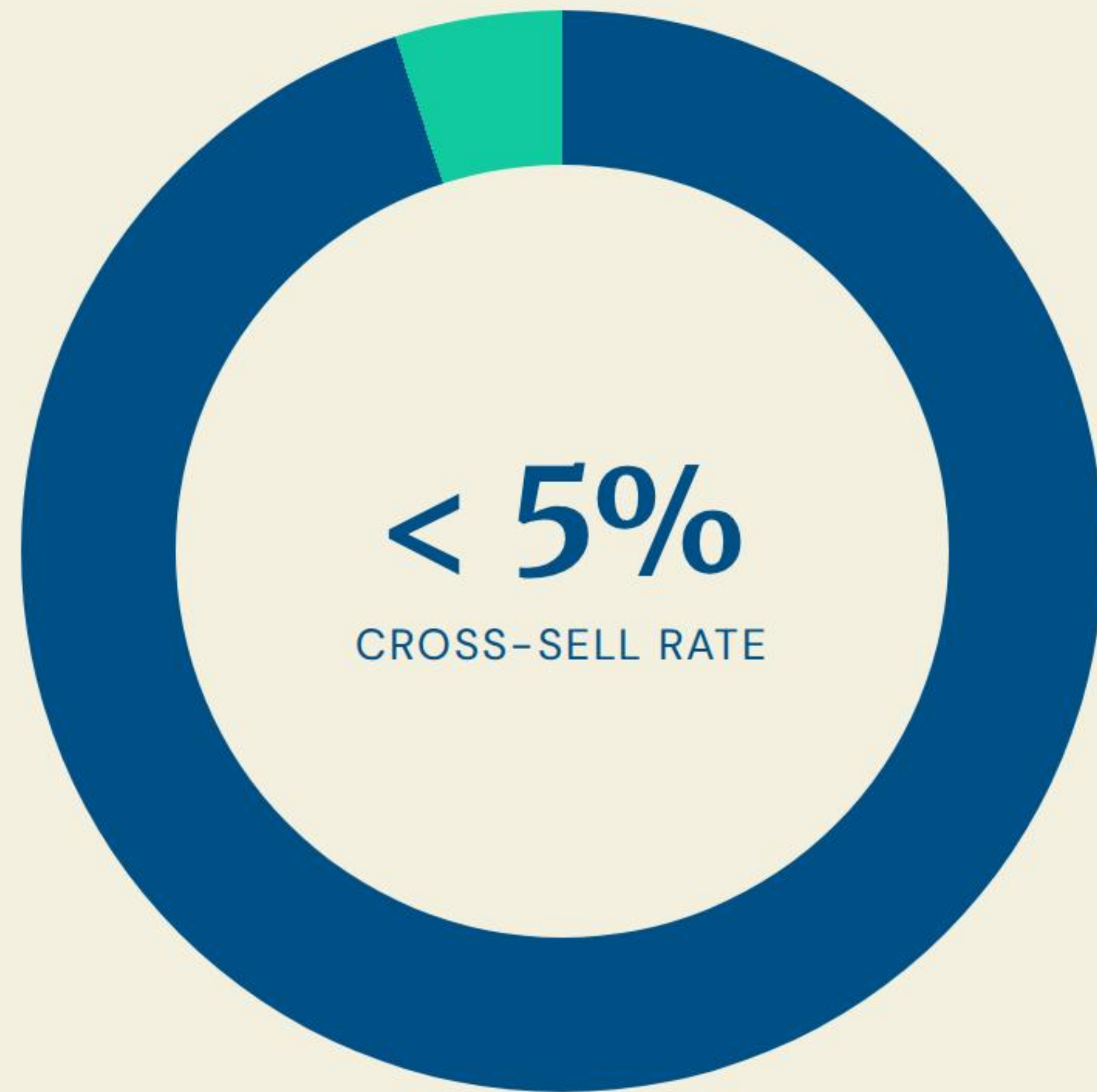
The hiring rate outpaced revenue growth by more than 3x, leading to the current cash burn predicament.

SECTION 02

Strategic Framework



Product Usage Breakdown



Disproven Thesis

- ✗ Fewer than 5% of Moz Pro subscribers utilized Followerwonk monthly.
- ✗ Marketing channel specialists stayed specialized; they avoided all-in-one suites.

Strategic Recommendation

Timeline	Action Item	Managing Growth Principles
0 – 30 Days	Wind down Content; Sell Followerwonk; Freeze hiring.	Profitable Pruning: Cut marginal products to save cash.
30 – 90 Days	Redirect all engineering to Moz Pro; Fix Local cash model.	Leverage Pulling: Focus on core asset turnover (A).
90+ Days	Drive Pro to 25,000+ subscribers; Achieve profitability.	Sustainable Rate: Raise growth from within organic profit.

Conclusion



Questions?

Let's discuss the road to sustainable growth.

Image Sources



https://res.cloudinary.com/emg-prod/image/upload/f_auto,q_auto/v1/HtmlPages/HtmlPage10131/Untitled_design_opengraph

Source: www.findcourses.co.uk



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